

HOW DOES MARTINGALE SYSTEM WORK IN TRADING? ▼

The Martingale system is a strategy that focuses on betting until you win. The method is simple - you double down your bets until you win. This sound like a gambling. Is it? Is betting everything at once is riskier than betting in different tranches? The answer is simple, betting in one go will probably erode your capital and you will be left with nothing as you have used your 100% capital. However, with martingale system, you are not betting all at once but in small tranches.

You see, if your bet goes against you, you might lose only a small portion of your capital; to cover that loss, you bet twice the previous amount; if lost again, you repeat until you win.



Here is an example:

Let's say you bet with a fixed sum of ₹1000. You chose heads, and you lose the bet (tails instead of heads). Now, you would increase your bet size to ₹2000. If it comes out tails again, which is another loss, you would now increase your bet to ₹4000. You continue this process until you end up with a winner.

